

A RISE INSURANCE AGENCY GUIDE

5 Insurance Mistakes That Cost People Thousands



The mistakes we find most often when we sit down and go through a policy line by line, explained in plain terms, plus what to check on your own.

Most people don't find the gap in their policy. They find it during a claim.

A policy can look fine for years. Same payment, same renewal notice, nothing that ever makes you stop and check it. Then something happens, a hailstorm, a wreck, a break-in, and the policy gets read closely for the first time. Usually by an adjuster. Not by you.

The five mistakes on the next few pages are the ones we run into most when we sit down and go through someone's declarations page, line by line. None of them are obvious. All of them are fixable in one conversation, before a claim finds them for you.

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MISTAKE 01

Your dwelling coverage should match what it costs to rebuild the house, not what you paid for it or what it would sell for.

Market value includes the land underneath the house. Rebuild cost is just the structure: materials, labor, permits, everything it takes to put the same house back up if it's a total loss. Those two numbers can be far apart, especially if your policy hasn't been checked since you bought the home and construction costs have moved since then.

Most homeowners set their dwelling coverage once, at closing, and never touch it again. If your coverage hasn't kept pace with what it costs to rebuild in your area today, you're not underinsured on paper. You're underinsured on the one day you need the policy most.

THE GAP WE SEE MOST OFTEN

\$50K– \$100K+

The typical gap between what a policy pays and what it costs to rebuild, on a policy that hasn't been reviewed in five or more years.

✓ THE FIX

Ask your agent for the current rebuild-cost estimate on file, not the market value, and confirm it's been updated in the last year.

01

QUICK CHECK

Pull up your declarations page. Does the dwelling coverage number look like what your home is worth today, or what it would cost to rebuild it?



MISTAKE 02

Your wind and hail deductible is probably not the flat number you're picturing.

Most homeowners policies in this part of Texas carry a separate wind and hail deductible, and it's usually written as a percentage of your dwelling coverage, not a flat dollar amount like \$500 or \$1,000. It's one line on the declarations page, easy to miss, and it only matters on the one day you need it.

Nobody reads that line and does the math against their real dwelling coverage until a hailstorm makes them.

WHAT A 1% DEDUCTIBLE MEANS

\$3,000

Out of pocket before the policy pays a dollar toward hail damage, on \$300,000 of dwelling coverage. Most homeowners expect a few hundred.

✓ THE FIX

Find the wind/hail line on your declarations page. If it's a percentage, do the math against your actual dwelling coverage, not a guess.

02

QUICK CHECK

Find the wind/hail line on your declarations page. Is it written as a dollar amount, or a percentage?



MISTAKE 03

Texas' minimum liability limits were set by a legislature, not by what a bad wreck actually costs.

Texas requires 30/60/25: \$30,000 per person and \$60,000 per accident for injuries, \$25,000 for property damage. That's the legal floor, not a real estimate of what a serious wreck costs. A single hospital stay can clear that per-person limit on its own.

Once the policy limit runs out, the driver who caused the wreck is personally on the hook for whatever's left: medical bills, lost wages, a lawsuit. No insurance company involved anymore, just the driver.

Texas minimum liability figures verified as of August 2026. State minimums can change, confirm current requirements with TDI before relying on this figure.

WHERE THE MINIMUM RUNS OUT

30/60/25

Texas' legal minimum liability limits. One serious injury claim can clear the per-person limit in medical costs alone.

✓ THE FIX

Raising liability limits is usually one of the cheapest upgrades on an auto policy. Ask what it costs to move from state minimum to real protection, it's rarely as much as people assume.

03

QUICK CHECK

Check your bodily injury limits. If the number reads 30/60, that's the Texas minimum, not a real cushion.



MISTAKE 04

There's no such thing as a standardized "full coverage" policy. There's only what's written on yours.

"Full coverage" is a phrase people use, not a real product. What it usually means is liability plus collision and comprehensive, which is a reasonable setup, but it doesn't automatically include a rental car while yours is in the shop, or roadside assistance, or coverage for personal items stolen out of the car.

Those are separate lines. Whether you have them depends on what's on your declarations page, not on what the phrase "full coverage" implies.

OFTEN ASSUMED, RARELY INCLUDED

2 of 2

Rental reimbursement and roadside assistance are the two add-ons drivers most often assume come standard with "full coverage." Neither one does.

✓ THE FIX

Ask specifically: rental reimbursement, roadside assistance, and what your comprehensive deductible is. Don't rely on the phrase "full coverage" to answer any of those.

04

QUICK CHECK

Does your policy include rental reimbursement and roadside assistance, or did you just assume it did?



MISTAKE 05

The longer a policy sits untouched, the more likely it is you're overpaying for exactly the same coverage.

Insurance pricing rewards new customers more than loyal ones. Carriers regularly price a brand-new policy lower than the same coverage on a policy that's been renewing quietly for years, a practice sometimes called price optimization. Nothing about your risk changed. The pricing did.

Most people don't notice because the increase shows up a little at a time, buried in a renewal notice they don't read line by line.

WHAT AN UNSHOPPED POLICY DRIFTS TO

3+ yrs

Is often enough time for identical coverage to drift hundreds of dollars a year higher, with no claims and no changes to explain it.

✓ THE FIX

This is the one we handle for you. We check the market every renewal instead of waiting for you to notice the increase.

05

QUICK CHECK

When's the last time this policy was shopped against the rest of the market, not just renewed?

ONE CONVERSATION

Want us to check your policy for these five?

A real look at what you're covered for, line by line. No pressure to switch today.

GET A QUOTE

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